

Tax & Depreciation Essentials Checklist — Investors (Victoria)

What to have in place, and what's changing, before you lodge your next return.

Correct as at July 2026. General information only — this is NOT financial, tax or legal advice, and is not personal advice about any specific financial product. Property tax rules are complex and individual — always engage a qualified accountant or tax agent for advice specific to your situation.

Section 1 — Records to Keep From Day One

- ☐ **A tax depreciation schedule from a qualified quantity surveyor** — this identifies deductible depreciation on the building structure (Division 43) and eligible plant and equipment (Division 40), and is one of the most commonly missed deductions by DIY investors.
- ☐ **Receipts for repairs vs. improvements — kept separately.** Repairs (fixing existing damage/wear) are often immediately deductible; improvements, renovations and additions are not immediately deductible and instead form part of your capital gains tax cost base. Mixing these up is a common and costly error.
- ☐ **State Revenue Office land tax assessments** — keep every annual assessment, not just the current one, as historical records matter for future disputes or sale calculations.
- ☐ **Stamp duty receipts and any state-specific levy notices** (emergency services levy, water authority charges).
- ☐ **Records of your accountant/tax agent fees** for the investment property portion of your return, and the cost of obtaining your depreciation schedule — both are generally deductible.

Section 2 — Victorian Land Tax Obligations

- ☐ **Check whether you're above the land tax threshold.** Victoria's general threshold dropped from \$300,000 to \$50,000 in 2024 — a change that brought roughly 360,000 additional landowners into the land tax system. Most investment properties now attract some land tax.
- ☐ **Understand land is aggregated across your holdings.** If you own multiple Victorian properties, your land tax is calculated on the *combined* site value of all your taxable land — not assessed separately per property.
- ☐ **Review your annual land tax assessment for accuracy** — check ownership details, valuations, exemptions, and absentee owner status. You generally have a **60-day objection period** if something looks wrong (extensions may be available except for valuation-specific objections).
- ☐ **If you're an absentee owner, check your notification deadline.** The Absentee Owner Surcharge (4% of taxable land value, no threshold) requires annual notification to the SRO — recent deadlines have fallen in mid-January, but confirm the current-year deadline directly with the SRO.
- ☐ **Check Vacant Residential Land Tax (VRLT) exposure** if any property sits vacant for more than 6 months in a calendar year — this applies across all of Victoria (not just metro Melbourne) and is charged at 1% of the capital improved value.

Section 3 — Understanding the Changing CGT and Negative Gearing Environment

- ☐ **Be aware that Commonwealth capital gains tax settings for investment property are changing.** Recent tax reform legislation affects the CGT discount, with a shift toward cost-base indexation plus a minimum tax rate applying to gains from **1 July 2027**. This is a genuinely significant structural change from the previous 50% CGT discount model — confirm the finalised, current rules with your accountant, as the specific mechanics and transition arrangements matter enormously for your position.
- ☐ **If you're planning to sell an investment property, get advice on timing relative to the 2027 changeover** — whether selling before or after this date is more favourable depends heavily on your specific purchase price, holding period, and gain, so this isn't a generic rule that applies the same way to everyone.
- ☐ **Understand transitional/grandfathering provisions may apply** to properties purchased before certain cutoff dates — confirm whether your specific property qualifies for any transitional treatment, rather than assuming either the old or new rules automatically apply.

Section 4 — Depreciation Schedule Timing

- ☐ **Get your depreciation schedule prepared as early as possible after settlement** — the sooner it's done, the sooner you can start claiming eligible deductions, and it also creates a clear record of the property's condition and fittings at acquisition.
- ☐ **Update your depreciation schedule after any renovations or major asset additions** — new plant and equipment (appliances, carpets, etc.) added after your initial schedule need to be incorporated to be claimable.
- ☐ **Don't assume an older property has no deductions available** — while depreciation on the *building structure* has age-related restrictions depending on construction date, plant and equipment deductions can still apply, and a quantity surveyor can advise on what's genuinely claimable for your specific property.

Section 5 — Questions to Bring to Your Accountant

- ☐ What is my current land tax position across all my Victorian landholdings combined?
- ☐ How will the 2027 CGT changes affect a future sale of this specific property, given my purchase price and expected holding period?
- ☐ Am I structured correctly (individual, trust, company) for my overall investment strategy, or would restructuring now be worth the cost?
- ☐ Is my depreciation schedule up to date with any renovations or asset purchases since it was last prepared?

Quick Reference — VIC Investor Tax Snapshot (July 2026)

ITEM	DETAIL
Land tax threshold (individuals)	\$50,000

Land tax objection window	60 days from assessment
Absentee Owner Surcharge	4% of taxable land value, no threshold
CGT discount changes	Cost-base indexation + minimum tax from 1 July 2027
Depreciation schedule	Div 40 (plant/equipment) + Div 43 (building) — quantity surveyor required

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